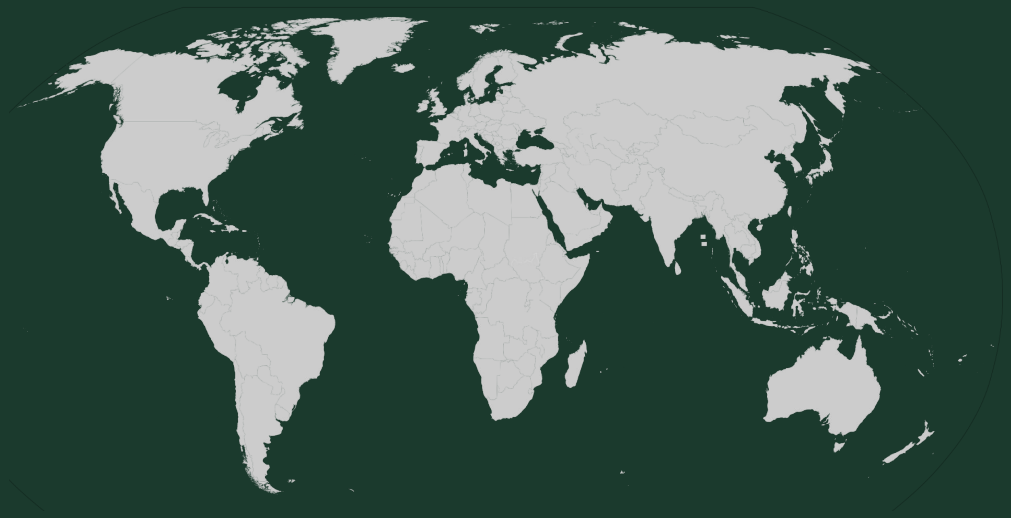
One of the four strategic priorities within a bank’s global FEC strategy

A top 3 Dutch bank’s global FEC organization operated without a shared language. Terminology fragmented across departments, jurisdictions and policy documentation drove compliance risk, reporting inconsistency and avoidable operational costs.

This initiative delivered a global FEC terminology framework, built end-to-end from scratch. Introducing an operating model defining roles, ownership, decision rights, and integration points within the existing operating model and organizational structures. A phased rollout ensured practical implementation, embedding standardized definitions into regulatory frameworks, IT systems, and reporting. A PDCA model to maintain alignment with evolving regulation.

Key outcomes include: one source of truth. Consistent terminology across global business lines and jurisdictions. Faster, more reliable reporting. Stronger data governance at every line of responsibility.

The next phase focuses on executing the operating model, tracks performance through KPIs, and scales sustainable (data) governance across the bank’s global network.



Key Outcomes

Led end-to-end design and implementation of an operating model a global terminology framework

Initial Landscape

Terminology scattered across business lines and jurisdictions

No ownership of terminology, driving inconsistent reporting and regulatory exposure

Regulatory pressure with slow decision-making and operational inefficiency

Siloed stakeholders with competing priorities and legacy processes

Results

Single source of truth established through a global FEC lexicon

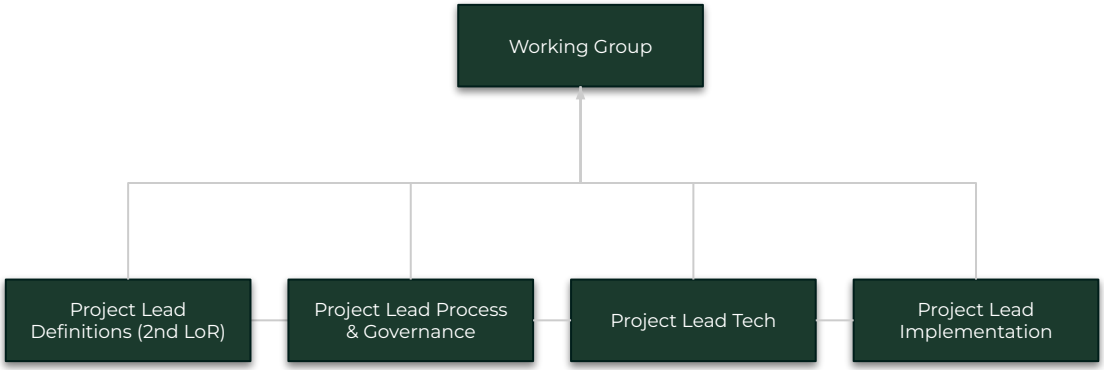
Governance embedded with clear ownership, decision rights, escalation paths, and integration into business-as-usual (BaU) processes

Coherent compliance reporting and decision-making through unified language, faster and more reliable

Cross-functional alignment embedded, enabling scalable and sustainable compliance

Governance established to steer the FEC Lexicon program

Project Governance



Roles & Responsibilities

Working Group: Owns direction, prioritization, and governance of the program

Sponsors: *Accountable* for the strategic outcomes of this initiative

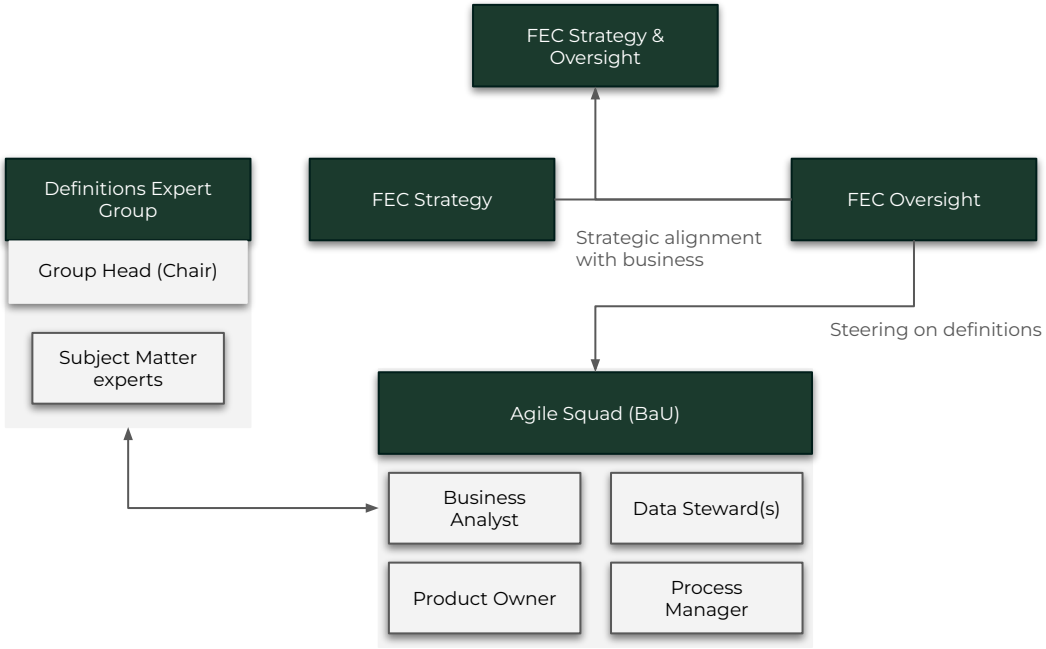
Experts: *Consult* by providing domain input and validation

Project Leads: *Responsible* for the execution and delivery

*Names are illustrative. Actual structure has been anonymized.

Governance Model

Global FEC Terminology Management



Governance Model

FEC Strategy & Oversight: Owns decision authority on definitions and change approvals and is *accountable.* 2nd line involvement is crucial due to its extensive userbase utilizing the terminology and target system.

FEC MC: Approves and ratifies definitions and material changes.

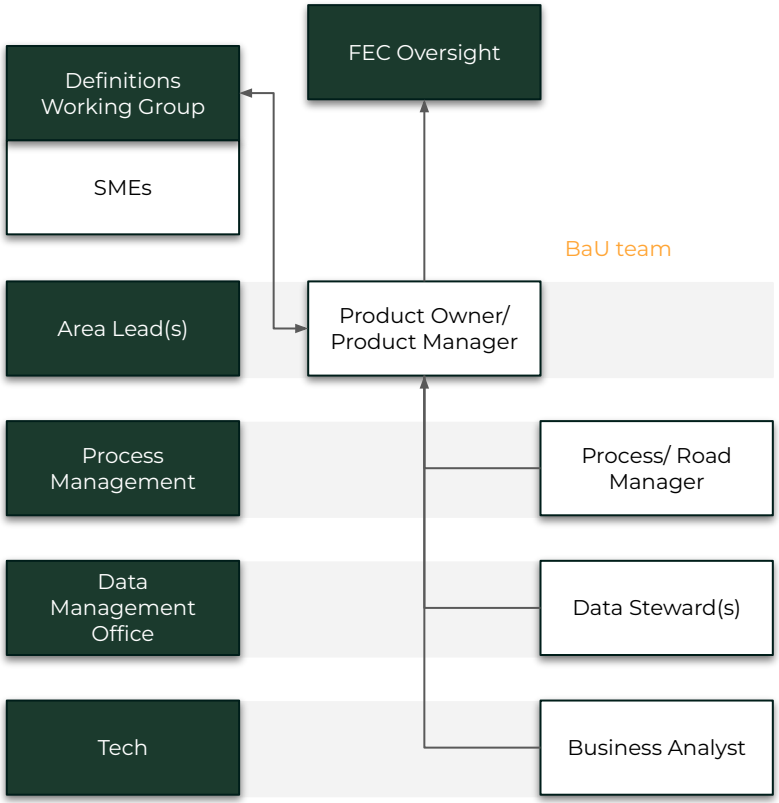
BaU Squad (Run & Change): *Responsible* for execution, maintenance, and implementations of approved definitions. Operates in an agile squad and outsources expertise from other business lines

Definitions Expert Group: *Consults,* prepares, develops, and validates definitions, providing expert input for formal approval by FEC Strategy & Oversight

*Names are illustrative. Actual structure has been anonymized.

Agile Squad responsible for operations and change

Business as Usual (BaU)



Agile Squad Roles

Product Owner: Accountable for the PDCA and impact assessment. Determines what needs to be done, and aligns work with business objectives and strategic goals. Acts as the primary channel and coordinator between the squad and stakeholders.

Process Manager: Ensures the PDCA and adoption of new processes (and tools) within the quality requirements of the bank. Ensuring (change) execution and ensuring stakeholder buy-in for multidisciplinary collaboration.

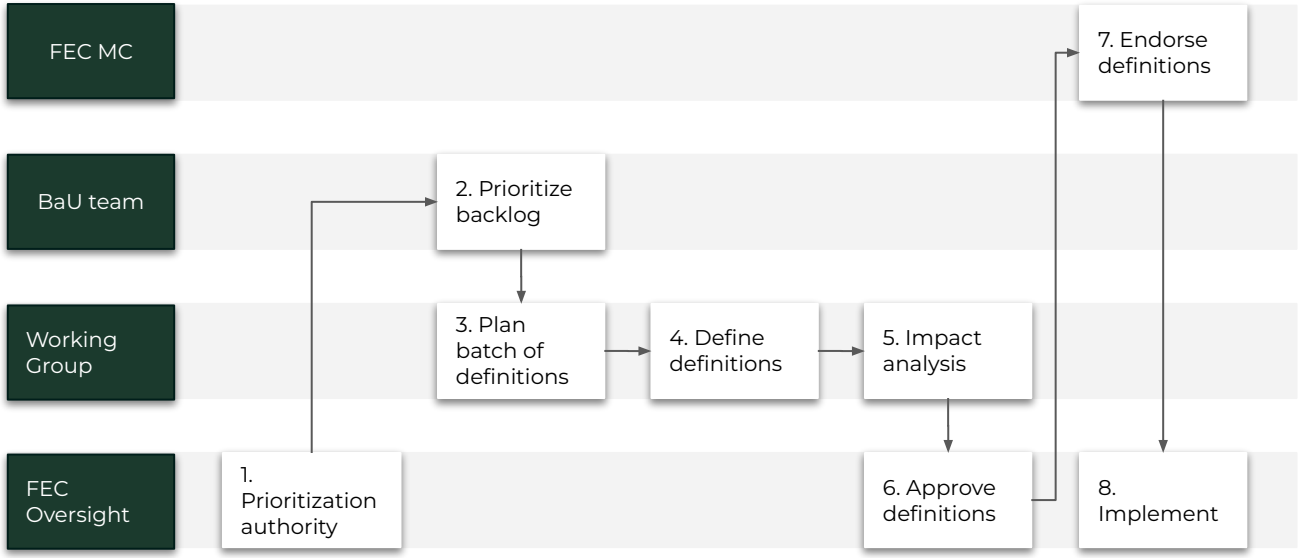
Business Analyst: Gathers and refines requirements and translates them into actionable tasks for a roadmap. Conducting business and information analyses regarding the product, processes, people and services geared towards the optimization/innovation of the target system. This ensures business needs are met.

Data Steward: Maintains and optimizes the target system and communicates between IT and the business regarding technical (data) aspects of the target system. The data steward ensures

- Accuracy and reliability of target system changes
- Data quality and integration with other systems
- Compliance with the bank's standards

High Level Process

Process model



Recommendations

Start lean and scale strategically. Initially start a core team of four, some roles will have a dual function. Focus on establishing strong foundational elements without unnecessary complexity.

As the product evolves and requirements grow more complex, we have the flexibility to transition to a more mature operating model. This gradual scaling can be achieved through strategic outsourcing of specialized skills from SMEs, ensuring resource optimization and flexibility.

This flexible approach enables us to:

- Adapt to evolving requirements
- align team maturity with product maturity
- Optimize resource allocation
- Minimize coordination efforts and organizational impact
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Given the non-linear nature of the product lifecycle, this strategy provides the agility to respond to changes effectively.

PDCA

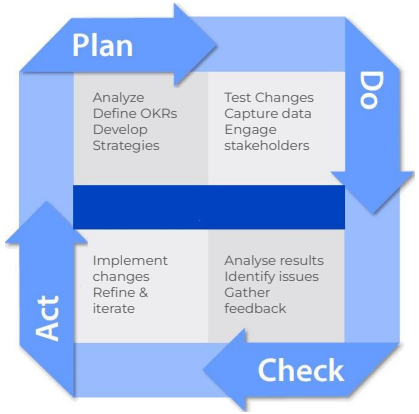
Phase 1 - embedding

PDCA Model

Core processes for managing the Global target system are the term management process & product improvements. The primary objectives are to maintain accurate, and up-to-date FEC definitions within a single source of truth. This should meet evolving user needs as a user-centric resource.

Specifically:

- Maintenance workflows
- Governance design
- Content quality
- Overall (user interface) functionality



KPI Framework

Adoption Rate

- % of users engaging with the target system
- # of access per department

Consistency & Accuracy

- Alignment of definitions with regulatory requirements
- # Inconsistencies identified

Integration Success

- % of definitions fully integrated within the target system

Change Management Effectiveness

- Time taken to process and implement updates
- # of change requests handled successfully

Operations

- Reduction in time spent clarifying terminology